

Figure 15.3 Tangible and intangible goods.

- Goods - e.g. mobile phones, digital cameras, clothes, accessories, antivirus.
- Information - e.g. subscription to some newspapers, scientific journals, television channels.
- Services - e.g. matrimonial services, placement services.
- Tangible form – e.g. a digital camera purchased by a consumer from an online shopping website which might be delivered at the requested address.
- Electronic form – e.g. a music album or a software downloaded from a site which might be delivered in electronic form.

15.2 The Evolution of Electronic Commerce

E-Commerce is not a completely new type of commerce. The dawn of E-Commerce started few decades ago and continues to grow exponentially. It first emerged on private networks in 1970s. Electronic Data Interchanges and teleshopping together paved the way for the E-Commerce.

The history of modern E-Commerce is closely twisted together with the history of the Internet. E-Commerce became really possible when the Internet was opened to commercial use. Online shopping started to grow when National Science Foundation opened the Internet to the public in 1991. Since then businesses have reached websites.

With the progress of the Internet technology and vastly developed global Internet community, large number of Dotcoms, FinTech and Internet Startups have appeared and a strong foundation of electronic commerce continues to build.

The Internet has provided new commercial potential not only for large organizations, but also provided a sustainable entry point for Small and Medium-sized Enterprises (SMEs) of E-Commerce. Today, E-Commerce is no longer an exclusive domain of large organizations or private networks.

Even though E-Commerce has been existing since few decades, it has recently sustained significant growth. It is because the Internet has transformed from an auxiliary communication medium of academics and large organizations to an entrenched communication medium that extends nearly to all parts of mainstream



In 1979, Michael Aldrich, an English entrepreneur, proposed a technique that enables online transaction processing between consumers and businesses, or between businesses. It was later proficiently called as E-Commerce. In 1980 he invented a multi-purpose home infotainment device called Teleputer, which was a fusion of Television, Computer and Telecom networking technologies.



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